

Table 27.9 Busted Patterns

Description	Bull Market
Busted patterns count	230 or 23%
Single bust count	135 or 59%
Double bust count	64 or 28%
Triple+ bust count	31 or 13%
Performance for all busted patterns	−16%
Single busted performance	−24%
Non-busted performance (Adam & Eve double top)	−16%

Busted occurrence. Single busted patterns happen most often, which is reassuring because they perform best.

Busted and non-busted performance. I compared three types of busted patterns: the performance of all busted patterns (single, double, and more than twice—triple+), single busts, and Adam & Eve double *tops*. As you know, double tops break out downward, so they are a good proxy for a non-busted bearish pattern.

Single busted patterns performed best. The other two tied for second place. If you want to short a stock showing a busted double bottom, then try to find a situation where there is little or no underlying support nearby (to help prevent a double or higher bust).

Trading Tactics

As a bullish chart pattern, you need only know when to buy Adam & Eve double bottoms. Selling is, of course, the tough part. Before you buy, consider the trading tactics shown in [Table 27.10](#).

Measure rule, targets. The measure rule calculates a target price for the stock. Consider the chart pictured in [Figure 27.6](#). To calculate the predicted target, first determine the formation height by subtracting the lowest low from the highest high in the double bottom. The lowest low in this example occurs at the right bottom, with a price of 27.57. The highest high, marked on the figure by point A, is 31.09. Add the difference, 3.52, to the